content, presentation, and/or accessibility requirements for such information, and what should these requirements be? How, if at all, should funds be required to inform shareholders that updated information is available on their websites? Should there be any other conditions for a fund to be able to satisfy its semi-annual report transmission obligations in this way, and if so what should they be? To what extent should the Commission consider or address the fact that, pursuant to rule 482 under the Securities Act, fact sheets and other information that funds make available online are generally considered to be omitting prospectuses, and are thus subject to prospectus liability that does not apply to shareholder reports? Should information that funds make available online under this alternative be required to be filed with the Commission? To what extent would this alternative approach result in a bifurcated disclosure system, as described above? What would be the effects on investors and those who wish to review semi-annual reports, if semi-annual reports were only prepared by some, but not all, funds? Would this alternative be aligned with investor preferences for fund shareholder report disclosure? Would it otherwise raise any investor protection concerns, and if so, what concerns?

135. Are there any further alternatives the Commission should consider with regard to semi-annual reports specifically, or reports that the fund would transmit on an other-than-annual basis generally? To what extent should any of these alternatives provide special consideration for electronic shareholder reports?

D. New Form N-CSR and Website Availability Requirements

We are proposing to amend Form N-CSR and rule 30e-1 to implement our proposed layered disclosure framework.

We are proposing to require funds to continue to file certain information, which is currently included in fund shareholder reports, on Form N-CSR.[392] Section 30 of the Investment Company Act requires funds to file their shareholder reports, including certain information that must appear in their reports, with the Commission.[393] Because we are proposing a framework in which certain information would no longer appear in funds' shareholder reports, we are proposing amendments to Form N-CSR that would create new filing requirements for this information in order to continue to require funds to file the information with the Commission.

This Form N-CSR filing requirement would further the proposed layered disclosure framework by making available a broader set of fund information than the information that appears in funds' annual and semi-annual reports. The information that would be filed on Form N-CSR is less retail-focused than the information that would appear in funds' annual and semi-annual reports, but as detailed below we believe that retaining the availability of this information would be important for investors who desire more in-depth information, financial professionals, and other market participants. The information included on Form N-CSR also would continue to provide shareholders and other market participants with access to historical, immutable data regarding the fund on EDGAR. This historical information also would facilitate the Commission's fund monitoring responsibilities and could create significant efficiencies in the location of information for data gathering, search, and alert functions used in those monitoring activities. For example, filing on EDGAR facilitates the financial statement reviews that section 408 of the Sarbanes-Oxley Act of 2002 mandates. Additionally,

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392 *See* proposed Items 7 through 11 of Form N-CSR.

393 *See* Investment Company Act sections 30(a), 30(e); *see also infra* Table 4.

because Form N-CSR is filed with the Commission on EDGAR, a fund can incorporate by reference information that is disclosed on Form N-CSR, including the fund's financial statements, into a fund's registration statement, subject to certain limitations.[394] Finally, a fund's principal executive and financial officer(s) are required to certify the financial and other information included on Form N-CSR, and are subject to liability for material misstatements or omissions on Form N-CSR.[395]

The amendments that we are proposing to rule 30e-1 would require funds to make available on their website the information that they would newly have to file on Form N-CSR, and to deliver such information upon request, free of charge.[396] These proposed website availability requirements are designed to provide ready access to this information for shareholders who find this information pertinent. The proposed requirements also would assist

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394 *See* rule 0-4 under the Investment Company Act [17 CFR 270.0-4] (additional rules on incorporation by reference for funds); rule 411 under the Securities Act [17 CFR 230.411] (general rules on incorporation by reference in a prospectus); rule 303 of Regulation S-T [17 CFR 232.303] (specific requirements for electronically filed documents); General Instruction D to Form N-1A.

395 *See* rule 30a-2 under the Investment Company Act [17 CFR 270.30a-2] and Item 13(a)(2) of Form N-CSR; *see also* Certification of Disclosure in Companies' Quarterly and Annual Reports, Investment Company Act Release No. 25722 (Aug. 28, 2002) [67 FR 57275 (Sept. 09, 2002)].

The Sarbanes-Oxley Act of 2002, Pub. L. 107-204, 116 Stat. 745 (2002) (the "Sarbanes-Oxley Act") requires the principal executive and principal financial officer of most management investment companies to provide two different certifications in their periodic reports. Section 302 of the Sarbanes-Oxley Act requires a certification that, among other things, relates to the accuracy of the information included in the N-CSR filing. Section 906 of the Sarbanes-Oxley Act added new Section 1350 to Title 18 of the United States Code, which requires a certification that, among other things, represents that the N-CSR filing fairly presents, in all material respects, the fund's financial condition and results of operations, and is subject to specific Federal criminal provisions.

396 *See* proposed rule 30e-1(b)(2) (funds would be required to post online Items 7 through 11 of Form N-CSR as well as the fund's complete portfolio holdings, if any, as of the close of the company's most recent first and third fiscal quarters).

those investors who find it most convenient to locate fund materials on a website that is not EDGAR.

The following table outlines the content that we propose to require funds to include in their Form N-CSR filings and make available online. This content is currently included in a fund's annual and semi-annual reports.

Table 4. Outline of Proposed New Form N-CSR and Website Availability Requirements

Description (and Related Statutory Requirement)	*Current Rule and Form Requirement(s) for Shareholder Report Disclosure (If Any)*	*Proposed New Disclosure Items for Filing on SEC Forms*	*Proposed Website Availability Requirements*
Financial statements for funds *(required by section 30(e) of the Investment Company Act)*	Items 27(b)(1) and 27(c)(1) of Form N-1A	Proposed Item 7(a) of Form N-CSR	Proposed rule 30e-1(b)(2)(i)
Financial highlights for funds	Items 27(b)(2) and 27(c)(2) of Form N-1A	Proposed Item 7(b) of Form N-CSR	Proposed rule 30e-1(b)(2)(i)
Remuneration paid to directors, officers and others of funds *(required by section 30(e) of the Investment Company Act)*	Items 27(b)(3) and 27(c)(3) of Form N-1A	Proposed Item 10 of Form N-CSR	Proposed rule 30e-1(b)(2)(i)
Changes in and disagreement with accountants for funds	Items 27(b)(4) and 27(c)(4) of Form N-1A; Item 304 of Regulation S-K	Proposed Item 8 of Form N-CSR	Proposed rule 30e-1(b)(2)(i)
Matters submitted to fund shareholders for a vote	Rule 30e-1(b)	Proposed Item 9 of Form N-CSR	Proposed rule 30e-1(b)(2)(i)

Statement regarding the basis for the board's approval of investment advisory contract	Item 27(d)(6) of Form N-1A	Proposed Item 11 of Form N-CSR	Proposed rule 30e-1(b)(2)(i)
Complete portfolio holdings as of the close of the fund's most recent first and third fiscal quarters	Currently required in Part F of Form N-PORT. Also website availability of this information currently required for funds relying on rule 30e-3.	N/A	Proposed rule 30e-1(b)(2)(ii)

1. Proposed Form N-CSR Filing Requirements

a. Financial Statements

We are proposing to require a fund to file its most recent complete annual or semi-annual financial statements on Form N-CSR, and provide certain data points from the financial statements in its annual and semi-annual reports, in lieu of including the fund's complete financial statements in its shareholder reports.[397] Consistent with current requirements, the fund's annual financial statements would be audited and accompanied by any associated accountant's report, while the semi-annual financial statements need not be audited.

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[397] *See* proposed Item 7(a) of Form N-CSR; *see also supra* footnotes 198 through 211 and accompanying text (discussing the proposed requirement to include a graphical representation of a fund's holdings in the shareholder report).